

The Hidden Pitfalls of Inclusive Innovation

By Raghav Narsalay, Leandro Pongeluppe, & David Light

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➔ New products and services sold to low-income people in emerging markets often flame out before the effort reaches the scale it needs to thrive. Here's what business leaders need to know to escape that fate.

The Hidden Pitfalls of Inclusive Innovation

By RAGHAV NARSALAY, LEANDRO PONGELUPPE, & DAVID LIGHT

Illustration by JEONG HWA MIN

A few years ago, a large multinational corporation developed a new food product designed for low-income people in emerging markets. The product was highly nutritious and low-priced. To win the trust of people in remote rural communities, the company recruited a sales force of local women, who in turn developed recipes using the product and helped teach community members how to prepare those dishes. A yearlong trial confirmed the product's potential: consumers found it easy to use and less expensive than common alternatives. Success seemed all but guaranteed.

But company executives decided not to continue investing in the project after the trial period. They determined that the product wasn't reaching new customers at a fast-enough pace—in other words, the business wasn't scaling up. Product managers had tried to do all the right things, but it wasn't enough.

Other companies attempting to develop innovative products for the poor have faced similar challenges. For example, a large consumer products company developed an inexpensive water purifier. The company tried building a commercially viable venture targeting low-income customers, but it was unable to get enough people to make repeat purchases of the water purifier, and so was unable to



grow the business. In the end, the company turned the venture into a nonprofit. Another company has developed an affordable refrigerator, but it too is finding it difficult to sell enough of them to make it a sustainable business.

Such derailments of “inclusive innovations”—high-quality yet affordable goods and services designed for and sold to low-income people—are not uncommon. Companies often recognize the value of these projects but falter in the execution. In 2011, for example, 98 percent of the Indian manufacturing executives we (at Accenture) surveyed said that inclusive innovation would be critical to their company’s future success, yet only 30 percent reported that developing inclusive products and services was an indispensable part of their business.

To discover why some inclusive innovation projects fail—and why others, against the odds, succeed—we researched inclusive business initiatives (IBIs) in 17 multinational companies in five developing countries—Brazil, China, Ghana, India, and Nigeria—and a banking institution from Australia that targeted remote rural areas. The initiatives, each with annual sales of at least \$100 million (with the exception of Esoko Networks Ltd.), were in eight industry sectors and included such companies as Nestlé, Haier, Siemens, Nokia Telecommunications, Hindustan Unilever, SAIC-General Motors-Wuling, and Tata Motors. (Because of confidentiality agreements we are not able to identify all the companies mentioned in this article.)

Our study revealed that IBIs face many special hurdles as they begin to ramp up their operations. Some of these obstacles are well known, including inadequate physical infrastructure—such as utilities, IT networks, public transportation, and health care facilities—a lack of effective regulatory bodies, and useful market data. These obstacles are challenging, but visible and familiar, and many IBI leaders are prepared to overcome them.

What often blindsides IBI leaders, however, are pitfalls that are less obvious yet equally (or even more) dangerous. We identified five pitfalls that frequently knock IBIs off course before they can gain traction: lacking support from the top, focusing on the wrong performance metrics, failing to recruit talented executives, using old business models, and partnering with the wrong organizations. Our study of initiatives that successfully achieved scale also produced insights into how to avoid each of these hazards.

PITFALL 1: LACKING SUPPORT FROM THE TOP

CEOs and other top corporate executives often give verbal support to inclusive innovation and the economic and social benefits it offers. Doing so provides good public relations for the company and gets them invited to prestigious confabs such as Davos and the Clinton Global Initiative, where they can hobnob with business executives, political leaders, and NGO executives from around the world. But in practice, top managers can be extremely tough on IBIs, and their support is often lukewarm at best.

Because of this tepid support from on top, ordinary problems that typically occur in the development of any new product or service can take on extraordinary importance and derail an IBI early in its journey. For example, while top managers in many companies do not blink an eye when allocating funds for product design and development aimed at middle-class customers, they develop cold feet as soon as they hear that the proposed spending is for products

RAGHAV NARSALAY leads the research program for the Accenture Institute for High Performance in Mumbai, India.

DAVID LIGHT is the Boston-based editor and publisher of the Accenture Institute for High Performance.

LEANDRO PONGELUPPE is a research scholar with INSPER in São Paulo, Brazil.

meant to be sold to low-income customers. And even if IBI teams succeed in clearing this barrier, they face another hurdle from the innovation lab heads, who are often not willing to spare their human and financial capital to work on what they see as highly risky ventures, unless they are prompted by top management or the board to behave otherwise.

Top managers are wary of IBIs for many reasons. Some are concerned that the project will lose money, others that it is a distraction from the core business, and still others that it requires the company to become involved in building support infrastructure (such as electricity and IT) that is beyond its expertise.

But what underlies much of top management’s wariness is the fear of the unknown. Top executives will often be reluctant to pursue experiments that take the company beyond well-tested assumptions about its core customers. Others may be concerned that an IBI will unnecessarily drain resources from the core business and hamper the company’s ability to compete. So when an important supplier fails to maintain the quality of its goods, and the IBI has trouble locating a replacement source—to name one bump that can befall any new business—executives at the corporate headquarters might scuttle the project before the initiative’s leaders have had the chance to fully explore alternatives. If conventional ventures have three strikes before they’re out, IBIs are often allotted just one.

To overcome this fear of the unknown—to turn up the heat on lukewarm support—IBI leaders have a number of approaches at their disposal. One is to turn the company’s board members into venture capitalists. At Unilever’s Indian subsidiary, Hindustan Unilever Ltd. (HUL), the company evaluated six IBIs by making board members responsible for allocating resources—in the form of people, money, and specialized internal expertise—to each of the six project managers. Every quarter, the IBI project managers would pitch their case for continued funding to the board, and all ventures were assessed against milestones pegged to growth of the business. Teams usually moved to the next round of funding only after they had achieved a scale that hit the milestone.

This competitive, entrepreneurial environment kept all the board members heavily involved in the IBIs, even though they accounted for only a small part of the company’s overall business. Board members also provided guidance to project teams and used their contacts to open doors within and outside the company. Of the six original IBIs, two survived the three-year test period—a solid result, due in part to the support from the board.

Fear of the unknown can also be overcome by launching an IBI as a corporate social responsibility (CSR) initiative rather than as a business initiative. Taking this approach lowers or eliminates the bar on growth and profitability, giving managers time to develop the initiative.

Consider, for example, an IBI by Alibaba.com, China’s largest e-commerce company. In 2006, a few small-town furniture makers launched online storefronts on Alibaba’s platform, with the aim of accessing larger markets such as Beijing and Shanghai. Seeing a

business opportunity, Alibaba's local managers asked the company's board for funds to promote the e-commerce platform to the other villages in the area and to train local entrepreneurs to build online storefronts. To get around the board's skepticism about whether the initiative fit with Alibaba's strategic objectives, managers pitched the project as a CSR initiative, and the venture was funded on that basis.

The CSR funds used for training local entrepreneurs helped support the rapid expansion in online storefronts based in the small town. By 2010, more than 2,000 shops were online, and the town now hosts more than 180 furniture factories and about 20 logistics firms. Perhaps most important, the town's furniture has become a recognizable brand among high-income consumers in China's urban markets. Although rural IBIs still have a limited impact on Alibaba's bottom line, the scalability of these initiatives has convinced the company's leadership of the long-term value of rural-to-urban e-commerce.

PITFALL 2: FOCUSING ON THE WRONG PERFORMANCE METRICS

IBIs are often expected to mature as commercial businesses at the same rate of speed as other ventures, and so are often judged by performance metrics that emphasize revenue and profit growth. But company leaders seem to forget that a great deal of time and effort must be put into creating the necessary infrastructure, often under challenging circumstances, before an IBI can even begin to start doing business.

For example, when Haier wanted to roll out 6,000 Goodaymart stores in rural China, it first had to invest an enormous amount of time and money to build the capacities of the local entrepreneurs who would operate the stores so that they could deliver a standard customer experience. And before ESOKO—a company that provides SMS alerts to farmers on prices, weather, and other information—was able to scale up its business in 10 African nations, it first had to create much of the content from scratch and then train the local entrepreneurs who would sell the mobile services on the basics of mobile telephony and the value of the SMS services they would offer. In both cases, the investments of time and money went well beyond what most business ventures targeting middle-class consumers would require.

Instead of using the usual business metrics that measure success by how quickly a venture grows, companies need to devise different and often unique metrics for assessing the IBI's performance. HUL has been a pioneer in this area, especially with Project Shakti. For more than a decade this venture has sold household goods, such as shampoo and detergent, in small villages in India that are difficult to reach. But the project's success came about only through patience and the use of new ways of assessing progress.

At the core of Project Shakti are local women, known as Shakti Ammas, who sell HUL products. (*Shakti* means power and *Amma* means mother.) HUL offers Shakti Ammas free courses on hygiene to help them market the products and also to teach them how to

stave off disease in the villages. Shakti Ammas are paid a commission based on their sales, generally two to three times the amount that they would have earned before joining HUL.

HUL assesses the performance of Project Shakti by measuring the performance of Shakti Ammas using the following metrics:

- Whether a Shakti Amma is consistently earning more income by selling HUL products than she would have made in other local jobs.
- The number of stores or storefronts opened by a Shakti Amma.
- How often a Shakti Amma picks up stocks from her distributors.
- The number of villages reached by a Shakti Amma that could not have been reached through normal sales channels.

HUL also tracks the average income of Shakti Ammas; their ability to access credit from alternative sources, such as self-help groups, to fund their businesses; and the potential of each Shakti Amma to generate additional revenue besides her HUL business.

Because HUL concentrated on a variety of metrics and not just on the financial performance of the project, and because the executives were patient about results, Project Shakti was allowed to blossom and eventually flourish. The initiative started in 2000 with 13 Shakti Ammas and has now grown to about 65,000 Shakti Ammas selling HUL products to more than 4 million households in more than 160,000 villages in 15 Indian states. HUL is committed to increasing the number of Shakti Ammas to 75,000 by 2015.

PITFALL 3: FAILING TO RECRUIT TALENTED EXECUTIVES

IBIs are extremely challenging to manage and need talented executives to lead them. Yet attracting talent to an IBI is often difficult. IBIs are typically portrayed within companies as risky ventures with a high probability of failure. And even when an IBI succeeds, it is unlikely to have a material impact on the company's financial performance. So under most circumstances, it's a rare person who is willing to risk her career on such a gamble.

To counteract such challenges, top management must treat IBIs as they would any other strategic project for the firm. YES BANK, in Mumbai, India, has consistently taken this approach, and so has been able to assemble top-notch teams to develop its IBI initiatives.

Take, for example, the development of a new service aimed at low-income workers called YES MONEY. One day while walking to the office, the chief financial inclusion officer of YES BANK saw long lines of people standing in front of a state-run bank branch. When he spoke to some of the people standing in line, he learned that they were migrant laborers who were waiting to remit their earnings back to their families living in rural villages. After further

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investigation, YES BANK found that the long lines often caused migrants to lose an entire day's wage.

Seeing a new market opportunity, YES BANK designed a secure and convenient product for these workers called YES MONEY. Instead of waiting in line at the bank, the worker is able to deposit money with a business agent of the bank (generally located near local railway stations in small cities) who is available late into the evening, well beyond the hours banks are open. The agents then use terminals connected to YES BANK's national electronic fund transfer (NEFT) system to deposit the remittance in destination accounts within 24 hours. More recently, YES BANK has connected agents' terminals to a new network, the interbank mobile payment switch, allowing remittances to be transmitted to their destination in seconds.

YES MONEY has been a success. At the end of March 2014, YES MONEY had more than 15,400 agents serving more than 1.8 million customers. The service reported 10,360,000 transactions with a volume of more than \$700 million.¹

The level of technological and managerial innovation required to launch this project would not have been possible without top talent working on the project from the beginning. The YES BANK leadership recognized this need at the outset and identified high-potential employees as candidates. Once discussion of the project began informally in cafeterias and coffee shops, many others volunteered to participate even before they could be officially asked.

Once the initiative was under way, the YES BANK leadership was careful not to destabilize the team by pulling people out of the initiative to work on other projects. In fact, the board and top management were actively involved in identifying the additional talent the IBI would need to get off the ground as quickly as possible.

Because the bank treated this initiative as it did other strategic initiatives, the people leading the initiative knew that the IBI's success would open opportunities to climb the corporate ladder. To further lessen the risks of participation, the YES BANK top management made it clear that failure to achieve profitability in the short term would not hurt team members' promotion prospects.

PITFALL 4: USING OLD BUSINESS MODELS

In rural and remote areas where many low-income people live, the up-front investment required to launch a new business and the risk of substantial losses from testing new approaches are both high. To reduce costs and mitigate risk, many companies make the mistake of trying to transfer their usual business models to IBIs, sometimes even trying to sell stripped-down versions of their existing products. But this approach usually does not work. Instead of using old business models, innovative companies are now working with local communities to co-create new IBI business models.

In the 1990s in Australia, rural regions got caught up in a spiral of poor economic conditions, shrinking populations, rising unemployment, and reduced incomes. Local banks started cutting back their operations, and many communities were left without local banking services or even ATMs. More than 2,000 bank branches shut down between 1993 and 2000, a 30 percent reduction in the number of branches.

For Bendigo and Adelaide Bank (Bendigo), which was then much smaller than its peers, this presented an opportunity to grow rapidly by appealing to underserved customers. But using the old business model—building and operating traditional bank branches—was likely to be prohibitively expensive. So in late 1997 Bendigo's leaders decided to try a new approach—an innovative franchise model, in which each of the bank branches would be owned by hundreds of local people within each community.

To implement this new business model, Bendigo created a small, dedicated, internal team to design and grow the business. The team developed Community Bank as a franchise model, with the community owning the rights to operate a Bendigo bank branch. Bendigo supplies all banking and back-office services, and the community-owned company operates the branch. The bank shares the revenue with the branch, enabling communities to earn revenue from their own banking and channel this revenue back into community enterprise and development.

In a traditional franchise model, one or two major investors own the branch. With Bendigo's model, a mix of residents, local business proprietors, educators, local government representatives, and farmers pool their resources to fund new branches. The core concept of this business model is straightforward—if individuals have part ownership in a local community enterprise, and they see that it can create benefits for the community, they will be more inclined to support that business.

The Community Bank has grown significantly over its 17-year existence. As of June 2014, there were 305 Community Bank branches holding 1,005,597 accounts, being served by 1,532 staff and 1,911 Community Bank branch directors. More important, more than \$125 million (Australian) in Community Bank branch profits has been returned to community projects, and almost \$37 million has been paid in dividends to more than 73,000 local shareholders.²

PITFALL 5: PARTNERING WITH THE WRONG ORGANIZATIONS

To succeed, all new business efforts must earn the trust of customers and investors, but in remote, rural areas, trust is likely to be in short supply when a large corporation comes knocking. To overcome skepticism, IBIs often partner with large and influential NGOs and government organizations to help them better understand the local population and gain their trust. In many instances, however, these organizations are a mismatch for the IBI's needs. The corporation

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often ends up being one of the many partners the NGO or government organization is working with in the same or similar areas. Instead of being treated as collaborators, the corporations become rent generators for the NGOs and government organizations. In some cases, the large NGOs and government organizations are themselves perceived to be authoritarian and dominating players and are detested by locals.

That's why the best partners for large corporations are often small, local NGOs and entrepreneurs who are deeply embedded in the community and have earned their trust. In Brazil, major paper producers, including Votorantim, Klabin, and Suzano, are engaging communities through local NGOs and using these relationships to advance sustainability practices at a grass-roots level. For example, Klabin's Forestry Incentive Program, first introduced in 1987, aims to increase the incomes of rural residents by developing sustainable forests that Klabin can harvest for timber.

Klabin initially partnered with government organizations to provide funding and technical assistance to local producers with an eye toward improving forest sustainability. The initiative provided farmers with resources and know-how useful for building sustainable forests, but Klabin found that many local producers still chose to use older and less sustainable methods. To bring these farmers on board, Klabin needed to inspire a change in behavior. It did so in 2005 by partnering with a local NGO named APREMAVI (Association for the Preservation of the Environment and Life). APREMAVI had built and maintained long-term relationships with local producers and thus was able to convince them that sustainable forests and Klabin's initiative would help secure their industry's long-term success.

Klabin is also working with APREMAVI to convince local producers of the value of having their forests certified by the Forest Stewardship Council. The goal is to get all local producers certified so Klabin can become the only large paper company in Brazil that processes 100 percent certified timber. More than 17,000 farmers now receive sustainability-related incentives in the states of Paraná and Santa Catarina. The collaborative program covers 124,000 hectares of cultivated forests, and 198 million seedlings have been distributed to farmers since the program began.³

Partnering with small local NGOs, however, is not easy. They frequently don't have the expertise or the capabilities necessary to participate in a for-profit business venture. In fact, concerns about profitability are typically foreign to the DNA of their organizational cultures.

To create mutual trust with small NGOs and local entrepreneurs, companies must rethink how they partner. NGOs and local suppliers want to feel they are being taken seriously—not just being used to make inroads for a large corporation. One of the most effective ways for an IBI to reassure them is to set up an internal group to help transfer important expertise and best practices—in both directions—with their external partners.

NATURA, one of Brazil's largest manufacturers of beauty, skin-care, and cosmetic products, created this kind of trust by establishing an Eco-Relations Management department. With employees in the field and a back-office staff, the department is responsible for managing partnerships with NGOs and local entrepreneurs and for training them to improve their operational efficiency. The

department's leader reports to the company's supply chain director and sustainability director.

NATURA's team remains in constant communication with NGO partners and local suppliers to ensure that the aspirations of NATURA, the NGOs, and the local communities are always in alignment. The company even asks NGO staff members to accompany its teams of agricultural scientists, environmental engineers, anthropologists, and biologists on visits to local communities. As one senior executive noted, "the company does not send a buyer to interact with the community, but someone who understands the social logic." This approach has helped the company gain local communities' trust and develop purchasing channels that dovetail with the communities' social structure and cultural expectations.

By 2011, NATURA had established relationships with 32 rural low-income communities comprising more than 3,000 households. These communities supply NATURA with raw materials and knowledge about the medicinal or cosmetic properties of local plants in exchange for direct payment and investment in local infrastructure, such as roads, schools, and hospitals. Adopting this approach helped NATURA launch a new line of cosmetics, NATURA Ekos, by drawing on local knowledge.

A NECESSARY DEVELOPMENT

Overcoming the hidden pitfalls facing IBIs is hardly a trivial matter. And yet the stakes for doing so could not be higher. Over the next few decades, billions of people who are now low-income will, because of economic growth, move into the middle class. According to estimates from the Organization for Economic Cooperation and Development, the global middle class will surge from 1.8 billion people in 2011 to 4.9 billion by 2030, with Asia accounting for 85 percent of that growth. And the purchasing power of that group is expected to rise from \$21 trillion to \$56 trillion during that same period.

In the meantime, those aspiring consumers need products that people in the rest of the world take for granted: the means to access clean water, as provided by HUL's Pureit water filter; the ability to save or transfer money and obtain loans, thanks to the efforts of financial firms like YES BANK; and the opportunity to obtain inexpensive, reliable, and functional transportation such as that provided by the joint venture of GM-SAIC-Wuling in China.

Companies that figure out how to meet the needs of people moving out of poverty toward the middle class will be well positioned to serve those same customers decades into the future. Indeed, in our survey of Indian manufacturers, more than two-thirds of the executives surveyed said they believed that those businesses that embrace inclusion will ultimately outperform those that do not.

The ability to overcome the hidden pitfalls of inclusive business initiatives is more than a CSR effort or a nice-to-have organizational skill. For companies that recognize the opportunity to provide the poor with goods and services that are both affordable and high quality, it's rapidly becoming a necessary core competence. ■

NOTES

- 1 2014 annual report of YES BANK
- 2 <http://www.bendigobank.com.au/public/community/community-banking/about-community-bank>
- 3 http://rs.klabin.com.br/en/sustainability-report/economic_financial/forestry_business_unit